Syllabus Edition
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The Role of Marketing

Exam code: 0450, 0986 & 0264, 0774

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Identifying and satisfying customer needs

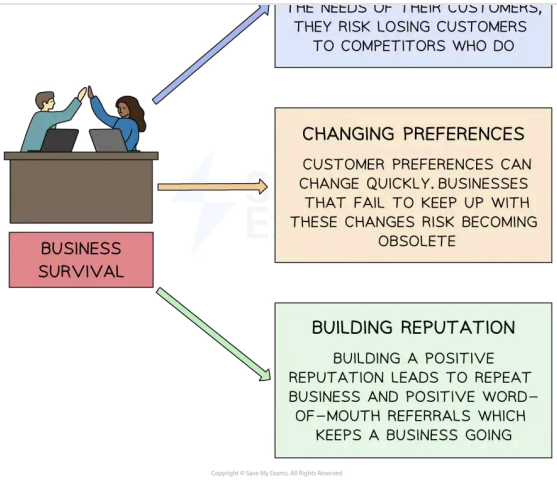
- **Marketing** helps a business identify and satisfy the needs and wants of its customers
  - **Identifying customer needs** involves finding out about the
    - **Variety** and **quality** of goods and services that customers want
    - **Prices** they are willing to pay
    - **Promotional** techniques that may persuade them to make repeated purchases
    - **Convenience factors,** including **where** and **how** they want to purchase products
    - **After-sales services** they anticipate
  - **Satisfying** these customer needs involves ensuring products are **available when and where customers want to buy them**, at a **suitable price**, at the **quality expected** and with **effective customer service**

The benefits of identifying customer needs

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it



The ultimate aim of identifying and meeting customer needs is to ensure business survival and success

- Businesses that successfully identify and satisfy customer needs
  - Compete more effectively than rival businesses
  - Keep up-to-date with **changing tastes and preferences**
  - Attract positive **word-of-mouth** recommendations and build the brand

Benefits of satisfying customer needs

Customer need	Explanation	Benefit to the business
Price	• This is the amount of money a customer is willing to pay for a product or service • Customers often have a budget and want good value	• By satisfying customers with fair, competitive pricing, the business can attract more buyers and increase sales • This also helps build trust with price-sensitive customers
Quality	• Quality refers to the standard customers expect from a product or service • This includes reliability and after-sales service	• Meeting quality expectations increases customer satisfaction and encourages repeat purchases • This leads to loyalty and positive word-of-mouth promotion

Help me understand

	expect a variety of products or services to suit their needs • This may include different sizes, styles or features	more likely that customers will find something they want • This increases sales and improves brand reputation
Convenience	• Customers want easy access to products and services • This may include delivery options, payment methods and online ordering	• Providing convenience helps build loyalty, improves the customer experience • It can lead to more frequent and higher-value purchases

Maintaining customer loyalty and building relationships

- **Customer loyalty** is when **existing customers buy products** from the same business **over and over again**
  - Customer loyalty leads to repeat purchases and a rise in **market share**.
  - It is much **cheaper for a business to try to keep existing customers** (for example, with loyalty cards) than to try to gain new customers, as this can involve expensive **advertising campaigns**
- Building **customer relationships** involves communicating with customers to encourage them to become loyal to the business and its products
  - Good relationships are maintained by
    - Developing close ties with customers and **finding out if products are continuing to meet their needs**
      - For example, using surveys to discover if preferences are changing
    - Using **technology** to gather important information about customers
- By having strong relationships with the customer, **the business can respond appropriately** when customers change their expectations

Examiner Tips and Tricks

Use the phrase **"building customer loyalty"** in your answers – it shows deeper understanding that marketing is not only about attracting customers but also keeping them long term

Anticipating changes in customer needs

- Predicting **what customers will want or need in the future** helps a business stay ahead of competitors and continue meeting customer expectations

The role of marketing in anticipating customer needs

- **Market research**
  - Surveys, focus groups and sales data help businesses understand what customers want now and in the future
    - For example, **McDonalds** uses customer feedback and sales data to test new menu items like the McPlant burger, designed for the growing demand for plant-based food
- **Product development**
  - Teams use this research to improve or create products that meet changing needs
    - For example, **Apple** developed AirPods after noticing customer demand for wireless and portable earphones, especially among smartphone users who wanted more convenience
- **Promotions**
  - These can be adjusted to demonstrate how products match new customer values or interests
    - For example, **Coca-Cola** launched its World Without Waste campaign and promoted its recycled plastic bottles to appeal to environmentally conscious consumers
- **Pricing strategies**
  - These may change if customers become more price-conscious
    - For example, **Netflix** introduced a lower-cost plan in some countries to attract budget-conscious viewers during a time when many households were cutting back on spending

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